

50%

Graduates and 28 per cent postgraduates are working in low-competency jobs, highlighting the lack of quality jobs to absorb the country's educated workforce

152 MILLION

Youth, aged 15-29, are employed, yet only 18 million have formal jobs with social security, leaving 134 million in informal and insecure work

82%

of employers covered in a survey across India said they were struggling to find the skilled talent they need, well above the global average of 72 per cent

Sources: 'Skills for the Future: Transforming India's Workforce Landscape', Institute for Competitiveness; JustJobs Network, based on PLFS, 2025; 2026 Global Talent Shortage Survey, ManpowerGroup

Training Institutes'. Thus, ITIs supply only 100,000-700,000 workers every year, when they could provide twice the number. It gets worse. According to a 2024 TRACER study by the Union ministry of skill development and entrepreneurship (MSDE), only 39.5 per cent of ITI pass-outs were employed and 9.5 per cent were engaged as apprentices. Consequently, just 4.1 per cent of India's working-age population (15-59 years) is formally trained. And since there is no wage premium for ITI certification, 30.6 per cent of students opt for informal training instead, as PLFS 2023-24 notes.

"ITIs don't have the prestige associated with institutes of higher education and are the fallback option for those for whom higher education remains inaccessible," says Tamoghna Halder, assistant professor of Economics at Azim Premji University. Historically, he adds, physical labour in India is associated with marginalised castes. So, a young person's aspiration is to exit from that work arrangement and move up the dignity ladder through a degree and get a desk job. Their research, published in 'State of Working India 2026', shows 77.4 per cent of students in ITIs are from disadvantaged backgrounds, including the Other Backward Classes, Scheduled Castes and Tribes.

One reason for the poor outcomes is that courses are often out of date. The 2023 NITI Aayog report found that curricula in many ITIs lagged years behind industry requirements. Some were still teaching HTML even as industry had moved on to Python. Vinita Aggarwal, a former executive member of the National Council for Vocational Education and Training (NCVET), says the regulator has since undertaken a rationalisation exercise, archiving around 7,147 qualifications that had limited relevance to the current labour market. Awarding bodies—responsible for developing, certifying and maintaining the quality of skilling standards—can now choose from around 3,221 qualifications.

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TAMOGHNA HALDER, *Assistant Professor, Economics, Azim Premji University*

Industry, however, says the problem persists. Bhavna Chopra Srikrishna, head of Stainless Academy at Jindal Stainless, points to a disconnect between training and emerging industrial needs. Despite the growing use of stainless steel in tunnelling, railway coaches, metros and utensils, she says welding courses at ITIs and polytechnics continue to focus largely on steel in general. "Welder courses are widely available in polytechnics and ITIs, but they still don't teach about welding stainless steel," she says. That gap was the primary reason Jindal Stainless started its own academy in 2018. It has since tied up with seven to eight engineering colleges and polytechnics to teach students about stainless steel and has applied to become an awarding body. Prasanna Pahade, CEO of the Automotive Skills Development Council, says that while some institutes now offer exposure to Computer Numerical Control (CNC) machines, Programmable Logic Controllers (PLCs), robotics and electric vehicle (EV) systems, wider modernisation is needed.

Relevance is another problem. ITI courses remain heavily skewed towards manufacturing, even though services account for more than 50 per cent of GDP. That is partly because ITIs were built primarily to serve industry, leading students to associate them with industrial trades. And while manufacturing has established career pathways—for instance, electrician to technician to supervisor—such progression is